

Statement of Purpose

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[University name]

Research interests. I am interested in pursuing a PhD in [Program name] at [University name], where I intend to pursue a research agenda that sits at the intersection of public, labour and health economics. Specifically, my research agenda would be centered in enhancing government targeting of large-scale funding and policy reform to achieve desired policy objectives. So far, I have begun to tackle this research agenda in three key ways: in my undergraduate Honours thesis, where I evaluated the effects of unconventional monetary policy – which constitutes large central bank investments in instilling market confidence – on financial market outcomes in a developing economy context; through my predoctoral research into Australia’s National Disability Insurance Scheme (NDIS); and via independent research on the effects of supply-side education policies on alleviating labour market shortages. Methodologically, I seek to use microdata, particularly Australian microdata which I have used as part of my predoctoral research, with theoretical models to imbue greater intuition to empirical findings.

Pre-doctoral and professional experience. I developed strong skills in policy evaluation, implementation and analysis during my three years working at the Reserve Bank of Australia, Australia’s equivalent of the Federal Reserve. In this role, I xxx. I have subsequently been working for A/Prof Manasi Deshpande as a predoctoral researcher, where I have been applying a range of frontier techniques in empirical micro to Australian administrative data to examine the labour market effects of Australia’s National Disability Insurance scheme (NDIS). In this project, I have gained significant experience working with and merging large administrative datasets to observe individuals wages, government benefit receipt, tertiary education, and demographic information. I have used an array of causal inference methods such as staggered rollout two-way fixed effect event studies and Callaway-Sant’Anna estimation to estimate how women’s labour force participation and wages were changed by the rollout of a large xxx. In addition, as part of this project I have gained experience using LASSO to identify an ex-ante cohort for whom the NDIS could likely induce entry.

Future research. An emerging area in the labour economics literature that I have taken an interest in include the effect of ‘supply-side’ education policies on stronger labour market matching, and how to observe the effects of ‘higher-order’ human capital in wages, employment and other labour market outcomes. A recent policy initiative I believe could be exploited to explore these issues comes from Australia, where since 2019, many states have been offering a free vocational education to upskill or re-skill in areas with skill shortages (known as ‘free TAFE’), with relatively broad eligibility. The state of Victoria was the first to implement free TAFE in 2019, with other states following in 2023. Courses were progressively added (and sometimes removed) over this time.

Free TAFE is a unique policy initiative worth empirically investigating for two key reasons. Firstly, it could be informative on the effectiveness of preferentially subsidised training policies as a way to induce labour force entry/switching and improve the quality of job market matching, particularly in growth sectors. Secondly, while existing work in this space xxxx, the rich nature of Australian administrative data means it could be possible to estimate general equilibrium effects, if for example this policy xxxx.

I propose applying administrative data from the Australian Bureau of Statistics (ABS) to analyse whether free TAFE in Victoria causally changed the size of the skilled workforce in its target areas and the efficiency of job-matching following course completion. ABS data contains linked

unit-level records of individuals' tax returns, enrollment and completions of vocational and university education, receipt of government benefits, healthcare system use, and demographic information such as gender, age and location. I have extensive experience using this data as part of my pre-doctoral research. I then intend to specify a structural model to model labour market entry under this policy change and investigate welfare implications for those who undertook these target courses pre- and post-free TAFE. As such, this work would be closely related to research that quantify the effects of subsidised training programs on employment and earnings. This work extends this literature to consider the effects of the same fully subsidised program on a whole host of different cohorts: young people looking for work, unemployed (or underemployed) workers, and those gainfully employed who may see reskilling as an opportunity to earn higher wages. It is also related to research on the effects of lower education costs on student effort by using observed earnings and employment outcomes as a proxy for worker quality post-training (and therefore student effort during training to influence their future work quality).

References

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